Schedule EECC-TBS

ELECTRIC ENERGY COMMODITY COST - TRANSITIONAL BUNDLED SERVICE

APPLICABILITY

Applicable to all Direct Access (DA) eligible customers for whom the Utility procures energy on a temporary basis, subject to the Transitional Bundled Service (TBS) provisions adopted by D.03-05-034 and D.04-01-013, and as set forth in Rule 25.1, Switching Exemptions. The TBS provisions require that DA eligible customers returning to Bundled Service while switching Energy Service Providers or for similar reasons, pay for procurement a proxy price relating to the actual cost of utility service, plus other relevant costs associated with the power procured to serve them. In addition, DA eligible customers switching from DA Service to Bundled Service or electing to switch from Bundled Service to DA Service, who receive TBS from the Utility during the advance notice period as required under Rule 25.1 , will also be required to pay the procurement charge as set forth below prior to being transferred to the full Bundled Service rates of the customer's otherwise applicable tariff. Service under this schedule must be taken in conjunction with the payment of charges under Schedule DA-CRS for those customers to whom Schedule DA-CRS is applicable.

Pursuant to California Public Utilities Commission Decision 05-12-041, except for customers returning to Bundled Service during the Follow-up notification period, as defined in Rule 27, this rate schedule may also be applicable to Community Choice Aggregation (CCA) customers returning to Bundled Service pursuant to the provisions set forth in Rule 27, CCA Rules. As applicable, CCA customers will be charged the rates set forth below in addition to the charges contained within the customer's otherwise applicable rate schedule. In addition, CCA customers are responsible for the charges shown on Schedule DWR-BC, Schedule WF-NBC and Schedule CCA-CRS. T

TERRITORY

Applicable throughout the territory served by the Utility.

RATES

The rates as set forth below are calculated using prices, costs and CAISO Tariff rates which are available on the ISO's OASIS website at www.oasis.caiso.com and the ISO's website at www.caiso.com.

1. Development of Hourly Power Costs

The Hourly Short Term Power Cost is calculated as follows:

[(Hourly LMP X UFE) + AS + GMC + RPS + CAP] X FF&U X DLF

The hourly market price for energy is set at the Day-Ahead LMPs, as published by the ISO on the Cal ISO OASIS website for SDG&E's Load Aggregation Point (LAP).

The Unaccounted for Energy (UFE) factor is equal to one plus a percentage, which is determined as the straight average of the most recent six month actual UFE percentages available from the ISO Monthly Operation Report for the Board of Governors posted on the CAISO website at www.caiso.com. The UFE allowance will be revised semi-annually (January and July).

An adjustment for ancillary services (AS) costs paid by SDG&E to the ISO shall be included in the hourly TBS Energy Cost. The hourly ancillary service cost will be derived by using the ISO AS Results report. The average cost of Procured ancillary services will be applied to the Procured and Self-Procured ancillary service MWs. This total cost will be divided by the ISO System load to produce the $/MWh ancillary service adder.

(Continued)

Schedule EECC-TBS

COMMODITY COST - TRANSITIONAL BUNDLED SERVICE

RATES (Continued)

1. Development of Hourly Power Costs (Continued)

FF&U means the non-differential franchise percentage and the uncollectibles percentage, and currently is equal to a factor of 1.012 to be used in the above rate calculation

The ISO Grid Management Charge (GMC) applicable to TBS is equal to the sum of the following GMC Charge Codes: 4560 and 4561. The GMC shall be charged on the customer's hourly metered demand. GMCs are posted on the ISO's website.

The RPS Adder will be the Energy Division's Renewable Portfolio Standard (RPS) adder that will be based on the weighting of the DOE data in relation to the weighting of the investor-owned utility cost data to reflect renewable resources in the calculation. N

The Resource Adequacy Capacity Value (CAP) will be calculated and updated annually using the Net Qualifying Capacity of the utility electric supply portfolio and the most recent California Energy Commission (CEC) estimate of the going forward costs of a combustion turbine. N

2. Franchise Fees

A Franchise Fee Differential of 5.78% will be applied to the total bills calculated under this Schedule for all customers residing within the corporate limits of the City of San Diego. Such Franchise Fee Differential shall be so indicated and added as a separate item to bills rendered to such customers.

3. Distribution Loss Factors (DLFs)

The DLF_{TLL} for each voltage level includes a factor for lost and unaccounted for energy. DLF_{TLL} will be calculated by the Utility based on the forecast hourly SDG&E UDC Service Area Load (Direct Access or CCA, plus UDC customers, including the Hourly EECC Rate Option Service) per Decision 97-08-056, as modified by Decision 97-11-026. The hourly DLF_{TLL} will be broken out by service voltage level and made available each day to market participants during the day-ahead market. The Utility will calculate the hourly DLF_{TLL} by applying the following formulae:

a. Secondary Voltage Class Customers

DLF_{DLL} = 1 + [Losses/Load]
DLF_{TLL} = 1.0065 x DLF_{DLL}

Where: Losses = $[0.0000090935 \times (SysLoad)^2] + 27.21$
Load = $-[0.00000804463 \times (SysLoad)^2] + [0.8586372 \times SysLoad] - 24.0524567$
SysLoad = SDG&E system load during hourly period in MW.

b. Primary Voltage Class Customers

DLF_{DLL} = 1 + (Losses/Load)
DLF_{TLL} = 1.0065 x DLF_{DLL}

Where: Losses = $[0.0000001523524 \times (SysLoad)^2] + 0.427367656$
Load = $-[0.000001181634 \times (SysLoad)^2] + [0.12612 \times SysLoad] - 3.533$
SysLoad = SDG&E system load during hourly period in MW.

(Continued)

Schedule EECC-TBS

COMMODITY COST - TRANSITIONAL BUNDLED SERVICE

RATES (Continued)

5. Distribution Loss Factors (DLFs) (Continued)

c. Primary at Substation Voltage Class Customers

DLF_{DLL} = 1 + (Losses/Load)
DLF_{TLL} = 1.0065 x DLF_{DLL}

Where: Losses = $[0.000000000009798 \times (SysLoad)^2] + 0.007089$
Load = $-[0.0000000196 \times (SysLoad)^2] + [0.002092 \times SysLoad] - .0586$
SysLoad = SDG&E system load during hourly period in MW.

d. Transmission Voltage Class Customers

DLF_{DLL} = 1 + (Losses/Load) = 1
DLF_{TLL} = 1.0065 x DLF_{DLL} = 1.0065

6. Summary of Class Load Profile Categories and Associated Rate Schedules

Class Load Profile	Rate Category	Associated Rate Schedules	
Residential:	Residential Non-Time-of-Use	DR, DM, DS, DT, DT-RV	
	Residential Time-of-Use	TOU-DR, TOU-DR1, TOU-DR2, DR-SES, TOU-ELEC	
	Electric Vehicle Time-of-Use	EV-TOU	
	Electric Vehicle & Household TOU	EV-TOU-2, EV-TOU-5	
Small Commercial:	Small Commercial	A-TC, TOU-A, TOU-A2, TOU-A3, UM	
Medium Commercial	Medium Commercial	AL-TOU-M, OL-TOU, DG-R-M, TOU-M, EV-HP, S	T
Large Commercial/ Industrial:	Large Commercial/Industrial	AL-TOU-L, AL-TOU2, A6-TOU, DG-R-L, VGI, PUBLIC GIR, S	T
Agricultural:	Agricultural Time-of-Use	TOU-PA, TOU-PA2, TOU-PA3, PA-T-1	T
Lighting:	Lighting	LS-1, LS-2, LS-3, LS-2DS, LS-2AD, OL-1, OL-2, DWL	

(Continued)

Schedule EECC-TBS

COMMODITY COST - TRANSITIONAL BUNDLED SERVICE

RATES (Continued)

7. Determination of Schedule EECC-TBS Prices

a. Non-Time-of-Use Rate Schedules

The amount of the customer's energy charge shall be the rate group Average Schedule EECC-TBS Energy Price multiplied by the customer's metered kWh during the billing period. Average Schedule EECC-TBS prices for each schedule of returning DA or CCA customers are developed through the use of dynamic load profiles, which represent the average load profile of all customers on a given rate schedule. Dynamic load profiles will reflect the influences of weather and other variables. Statistical load profiles will be used for the lighting customer class. The rate group average energy price for the billing period is the sum of the products of the Hourly Power Costs as described in section 1, the hourly load percentages from the Utility's Dynamic or Statistical load profile for the applicable rate group and the hourly DLFs determined as set forth in Section 5 for the applicable service voltage, the Uncollectibles Expense Factor and the Franchise Fee Factor. The Average Schedule EECC-TBS energy price is calculated on a weekly basis defined as the seven day period beginning on Wednesday and ending on the following Tuesday. The Average Schedule EECC-TBS energy prices are calculated each Sunday and are used for all billing through the following Saturday. T

b. Time-of-Use Rate (TOU) Schedules

The amount of the customer's energy charge shall be the sum of the products of the rate group Average Schedule EECC-TBS Energy Price in each TOU period as defined in the applicable rate schedule and the customer's metered kWh in each TOU period during the billing period. The rate group average energy price for each TOU period is the sum of the products of the Hourly Power Costs as described in section 1, the hourly load percentages from the Utility's Dynamic or Statistical load profile for the applicable rate group and the hourly DLFs determined as set forth in Section 5 for the applicable service voltage, the Uncollectibles Expense Factor and the Franchise Fee Factor. The Average Schedule EECC-TBS energy price is calculated on a weekly basis defined as the seven day period beginning on Wednesday and ending on the following Tuesday. The Average Schedule EECC-TBS energy prices are calculated each Sunday and are used for all billing through the following Saturday.

SPECIAL CONDITIONS

1. Definitions. The definitions of principle terms used in this schedule are found either herein or in Rule 1, Definitions.

2. Service Restrictions. Service under this schedule is restricted to the entire load served by single meters. The electric load of a single meter may not be partitioned among services rendered under this Schedule and services rendered by a non-utility party under Direct Access or CCA.